

of innovation, but unless you are a fund manager or distributor, that someone is not likely to be you.

Sometimes for Better, but Mostly for Worse

Amidst this wave of complexity, have we forgotten the fact that the most productive investing is the simplest investing, the most peaceable investing, the lowest-cost investing, the most tax-efficient investing—investing with the most consistent strategies and over the longest time horizon? Apparently so. And I'm afraid that the new jazzed-up iterations (largely exchange-traded funds) of the simple index fund that I spawned all those years ago are helping to lead the way. No wonder I wake up some mornings feeling like Dr. Frankenstein. *What have I created!?*

Let me be clear: I favor innovation when it serves fund investors. And I'm pleased that I've been lucky enough to have played a key role in a number of such innovations in the past: the stock index fund, the bond index fund, the defined-maturity bond fund, the tax-managed fund, and even the first fund of funds (and Vanguard is the only firm, I believe, that has never levied an additional layer of expense ratios on such funds).

In recent years, there have been other investor-friendly innovations, including target retirement funds and life strategy funds. Properly used (and properly costed!), these funds can easily serve as an investor's complete investment program for the long run. But in today's wave of fund innovation, I see little else that seems likely to serve investors effectively. Let me give a brief thumb-nail sketch of the "products" (by my standards, the wrong way to think about mutual funds) that have been created of late, and offer my own perspectives.

Exchange-Traded Funds

Exchange-traded funds (ETFs) are clearly the most widely accepted innovation of this era. Of course I admire their endorsement of the